

 PREMIER® POLICY	TITLE: Fraud, Waste and Abuse Policy	
	DATE CREATED: 06/26/2017	VERSION NUMBER: 4
	DATE OF LAST REVIEW: 12/24/2019	DEPARTMENT OWNER: Corporate Compliance

Printed copies are for reference only. Please refer to the electronic copy for the latest version.

1. Purpose

To promote compliance with federal and state fraud, waste and abuse laws regarding false claims, statements or any other type of fraudulent activity prohibited by relevant fraud laws. These laws are intended to prevent and deter fraud, waste and abuse.

2. Scope

Applies to all workforce members of Premier, Inc. and controlled subsidiary companies ("Premier").

3. Definitions

Abuse – Actions that may, directly or indirectly, result in unnecessary costs to the Medicare Program. Abuse involves payment for items or services when there is not legal entitlement to that payment and the provider has not knowingly and/or intentionally misrepresented facts to obtain payment.

Claim – Any request or demand for money or property made to the U.S. government or one acting on behalf of the U.S. government. A claim can be either an outright demand or a request for reimbursement for funds expended in providing services on behalf of the U.S. government or under programs funded by the U.S. government. For pharmacies, claims are typically submitted to a Medicare Prescription Drug Plan or a Carrier acting on behalf of the U.S. government for Medicare payments and to the state Medicaid agency for Medicaid payments.

Fraud – Knowingly and willfully executing, or attempting to execute, a scheme or artifice to defraud any health care benefit program, or to obtain, by means of false or fraudulent pretenses, representations, or promises, any of the money or property owned by, or under the custody or control of, any health care benefit program.

Knowing or Knowingly – A person, with respect to information: (a) has actual knowledge of the information; (b) acts in deliberate ignorance of the truth or falsity of the information; or (c) acts in reckless disregard of the truth or falsity of the information. For purposes of this definition, no proof of specific intent to defraud is required.

Material – Having a natural tendency to influence, or be capable of influencing, the payment or receipt of money or property.

Waste – Overusing services, or other practices that, directly or indirectly, result in unnecessary costs to the Medicare Program. Waste is generally not considered to be caused by criminally negligent actions but rather by the misuse of resources.

Workforce Member – Any individual employee, contractor or consultant with logical and/or physical access to Premier information assets and resources.

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4. References

[Deficit Reduction Act of 2005, Section 6032](#)

[31 U.S.C. § 3729-3733](#)

[31 U.S.C. § 3801-3812](#)

[42 U.S.C § 1396a\(a\)\(68\)](#)

[Fraud Enforcement and Recovery Act of 2009, Section 4](#)

[THE VALUE OF INTEGRITY | Code of Conduct](#)

[Whistleblower Policy](#)

[WorkSmart Integrity HelpLine Policy](#)

[Reporting a Compliance Concern or Issue](#)

[WorkSmart Integrity HelpLine Investigation Policy](#)

[Non-Retaliation Policy](#)

POLICY

1. Premier is committed to complying with all applicable federal and state laws, particularly those that are designed to address identified instances of healthcare fraud, waste and abuse.

Federal and State Anti-Kickback and Anti-Referral Laws

- 1.1. Generally, such federal and state laws are intended to prevent fraud, waste and abuse
 - 1.1.1. Prohibiting the knowing and willful offering, paying or receipt of any remuneration, whether direct or indirect, in exchange for referrals of goods or services reimbursable by a governmental health care program; and
 - 1.1.2. Prohibiting a physician from making a referral for certain health services, payable by a government health program, to an entity in which the physician has an ownership or investment interest, or with which the physician has an arrangement for compensation.
- 1.2 Law enforcement agencies may bring civil and criminal actions against violators in court and may also take administrative actions (outside of court) for certain acts of fraud and abuse.

Federal Deficit Reduction Act of 2005, Section 6032

- 1.3. A federal statute that instituted a requirement for healthcare entities, which receive or make \$5.0 million or more in Medicaid payments during a federal fiscal year, to establish policies and procedures informing and educating their employees, contractors and agents about federal and state false claims acts and whistleblower protections.

Federal False Claims Act (31 U.S.C. § 3729-3733) as amended by the Fraud Enforcement and Recovery Act of 2009, Section 4

- 1.4. A federal statute that imposes liability on persons and companies who make false claims for payment to the federal government. Any false statement that is material to a claim can be actionable and liability has been expanded to knowingly failing to repay an overpayment.
 - 1.4.1. The False Claims Act prohibits, among other things:
 - A. Knowingly presenting or causing to be presented to the federal government a false or fraudulent claim for payment or approval.
 - B. Knowingly making, using, or causing to be made or used, a false record or statement in order to have a false or fraudulent claim paid or approved by the government.
 - C. Conspiring to defraud the government by getting a false or fraudulent claim allowed or paid.

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- D. Knowingly making or using, or causing to be made or used, a false record or statement to conceal, avoid or decrease an obligation to pay or transmit money or property to the government.
- 1.4.2. Potential penalties for violating the False Claims Act include treble damages (damages equal to three times the amount of the false claim), civil penalties of up to \$21,916 per claim adjusted annually and exclusion from federal healthcare programs.
- 1.4.3. An individual (or *qui tam* plaintiff) can sue for violations of the federal False Claims Act under the whistleblower provisions to recover funds paid by the government as a result of the false claim.
 - A. If the suit is successful, the whistleblower that initially brought the suit may be awarded a percentage of the funds recovered.
 - B. If the United States Government decides to join the *qui tam* suit, the percentage of the recovered funds awarded to the whistleblower is lower.
- 1.4.4. The federal False Claims Act contains protections for whistleblowers.
 - A. Employees, contractors or agents who report fraud and consequently suffer retaliation are entitled to all relief necessary to be made whole, including but not limited to, two times their back pay plus interest.
 - B. They are also entitled to reinstatement at the seniority level they would have had had except for the retaliation and compensation for any cost or damages they have incurred.

Administrative Remedies for False Claims (31 USC Chapter 38. §§3801-3812)

- 1.5. Federal laws also allow administrative remedies for, among other actions, submitting a claim knowing or having reason to know that it is false, fictitious or fraudulent; that it includes or is supported by false, fictitious or fraudulent information; that it includes or is supported by information omitting a material fact, making the claim false, fictitious or fraudulent; or that it is for payment for property or services not provided.
- 1.6. Civil penalties may be imposed, up to \$5,500 per claim, plus an assessment of twice the amount of the original claim. Similar penalties may apply where a false, fictitious or fraudulent written statement is submitted.

State Law

- 1.7. Many states have laws that are either identical or similar to the federal False Claims Act. A map with links to individual laws may be found at <https://www.taf.org/state-laws>.
- 2. Premier supports the efforts of federal and state authorities in identifying incidents of fraud and abuse.
- 3. Premier is committed to complying with the fraud, waste and abuse related policies of our payors to the extent applicable, feasible and relevant to our interaction with the particular payors.
- 4. Workforce members are strictly prohibited from engaging in any conduct that violates federal and state fraud, waste and abuse laws regarding false claims, statements or any other type of fraudulent activity prohibited by relevant fraud laws.

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5. Premier provides education to relevant workforce members to enhance awareness of federal and state fraud, waste and abuse laws, and to promote detection and prevention of fraud, waste and abuse.
6. Workforce members who become aware of known or suspected fraud, waste and abuse are expected to immediately report the incident through Premier's WorkSmart Integrity HelpLine by visiting worksmartpremier.com, calling 800.254.5762 or texting 803.573.9656.
7. The Chief Ethics & Compliance Officer ensures the prompt investigation of all reports of potential fraud law violations.
8. Premier prohibits retaliation against anyone who reports suspected fraud or potential fraud law violations.
9. A workforce member who fails to comply with this policy is subject to appropriate disciplinary action, ranging from a verbal warning up to and including termination of employment.
10. This Fraud, Waste and Abuse Policy prevails in the event of a conflict with any existing division and/or majority-owned or controlled subsidiary policies.